

LIMURU TEA COMPANY LIMITED

P. O. BOX 42011, Nairobi 00100, Kenya
Telephone: 020 2489737/41

11th March 2016

The Chief Executive
Nairobi Securities Exchange
The Exchange
Westlands Road
P. O. Box 43633
Nairobi



Dear Sir,

RE: END OF YEAR FINANCIAL RESULTS - LIMURU TEA COMPANY LIMITED

At their Board Meeting held on 11th March 2016, the directors of Limuru Tea Company Limited approved the Company's financial results for the year ended 31st December 2015. Please find enclosed a statement of the financial results as approved.

The Board of Directors will be recommending a final dividend of Kshs 1 per ordinary share for the year ended 31st December 2015, subject to approval by the Shareholders at the Annual General Meeting scheduled for 27th May 2016.

Yours faithfully,
Limuru Tea Company Limited

Duncan Stickler
Chairman

Encl.

LIMURU TEA COMPANY LIMITED

P. O. BOX 42011, Nairobi 00100, Kenya
Telephone: Nairobi 532520

ANNOUNCEMENT OF RESULTS FOR THE TWELVE MONTHS ENDED 31 DECEMBER 2015

The Board of Directors is pleased to announce the company's results for the year ended 31 December 2015. The figures have been extracted from the company's audited financial statements which have received an unqualified audit opinion.

STATEMENT OF FINANCIAL POSITION			
	As At 31.12.15		As At 31.12.14
CAPITAL EMPLOYED	Shs'000		Shs'000
Share capital	24,000		24,000
Retained Earnings & reserves	230,260		226,516
Proposed dividends	-		1,200
Total equity	254,260		251,716
Non-Current Liabilities			
Deferred income tax	39,227		50,554
Post-employment benefit obligation	20,487		20,000
	59,714		70,554
Total equity and noncurrent liabilities	313,974		322,270
REPRESENTED BY			
Noncurrent assets			
Property, plant and equipment	2,317		9,891
Biological assets	176,279		196,702
	178,596		206,593
Current assets			
Inventory	331		153
Receivables from parent company	154,573		123,983
Cash at bank and in hand	8,661		7,872
	163,565		132,008
Current Liabilities			
Trade and other payables	19,567		14,777
Current income Tax liability	8,620		1,554
	28,187		16,331
Net current assets	135,378		115,677
	313,974		322,270

CONDENSED STATEMENT OF CASH FLOWS			
	As at 31 Dec 2015		As at 31 Dec 2014
	Shs '000		Shs '000
Net cash from operating activities	9,610		16,541
Net cash used in investing activities	(7,621)		(7,436)
Net cash used in financing activities	(1,200)		(9,000)
Increase in cash and cash equivalents	789		105
Movement in cash and cash equivalents			
At start of year	7,872		7,767
Increase	789		105
At end of year	8,661		7,872

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CONDENSED STATEMENT OF COMPREHENSIVE INCOME			
	2015 Shs '000		2014 Shs '000
Turnover	122,374		92,250
Profit before income tax	5,126		2,078
Income tax expense	(2,082)		(2,408)
Profit attributable to the shareholders	3,044		(330)
Issued shares of Shs. 20 each	-		1,200,000
Issued shares of Shs. 10 each	2,400,000		-
Earnings per share (Shs)	1.27		(0.28)
Total Dividends per share (Shs)	1		1

CONDENSED STATEMENT OF CHANGES IN EQUITY				
	Share Capital Shs '000	Retained Earnings & reserves Shs '000	Proposed Dividend Shs '000	Total Shs '000
Balance at 1 January 2014	24,000	227,346	9,000	260,346
Total recognised income for 2014	-	(330)	-	(330)
Charge to other comprehensive income (actuarial gain net of tax)	-	700	-	700
Dividends				
-Final paid for 2013	-	-	(9,000)	(9000)
-Proposed final for 2014	-	(1,200)	1,200	-
Balance as at 31 December 2014	24,000	226,516	1,200	251,716
Balance at 1 January 2015	24,000	226,516	1,200	251,716
Total recognised income for 2015	-	3,044	-	3,044
Charge to other comprehensive income (actuarial gain net of tax)	-	700	-	700
Dividends				
-Final paid for 2014	-	-	(1,200)	(1,200)
-Proposed final for 2015	-	-	-	-
Balance as at 31 December 2015	24,000	230,260	-	254,260

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COMMENTARY

Performance

In 2015 the company produced 3,065,880 kilograms of green leaf, which in turn was manufactured into 692,343 kilograms of black tea. The 10% decrease in green leaf volume is attributed to drought during Q1 in the year 2015.

The lower crop volume was positively impacted by the rise in US dollar tea prices and the weakening of the Kenya Shilling against the US dollar by 11.4% which increased total revenues by 33% from KShs 92 million in 2014 to KShs 122 million in 2015.

The company posted a pre-tax profit of Ksh.5.126 million in the year ended 31st December 2015 compared to Ksh. 2.078 million in the year ended 31st December 2014. The 147% increase in pre-tax profits compared to same period previous year is largely attributed to increased tea auction prices and favourable movements in exchange rates. The cost of sales dropped by 3% as a result of lower production compared to the prior year.

Dividend

The Directors recommend a dividend of Ksh.1 per share for 2015, subject to approval by the shareholders at the Annual General Meeting scheduled for Friday 27th of May 2016.

Prospects

The crop for 2016 has started on a positive note due to the El Niño rains experienced towards the end of 2015. However, auction prices are now showing a downward trend as a consequence of the high volume while the Kenya shilling continues to hold stable against the US dollar. If the current good weather conditions continue into the rest of the year, the full year crop will be expected to be higher than last year and prices will maintain a downward trend. The 2016 performance therefore is expected to be modest.



Duncan Stickler

Chairman

11 March 2016